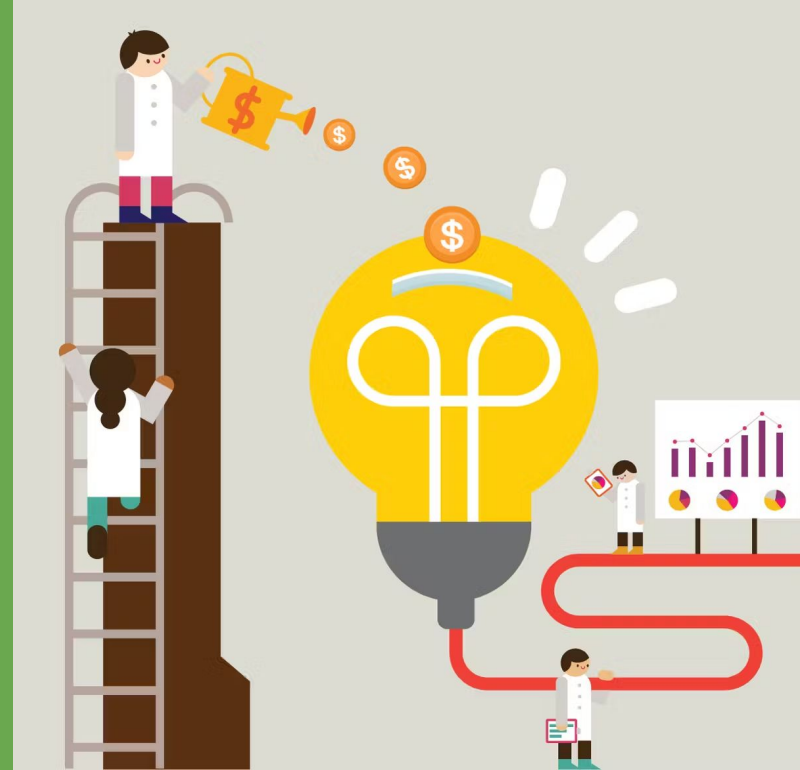


# Theories of Entrepreneurship

## Module 5 & 6





# CREATIVITY

# INTRODUCTION

- Creativity is the ability to generate innovative ideas and convert them to reality.
- It basically involves imaginative and original thinking and implementing that into reality.
- It is the ability to think and design something new, solve problems in new and different ways and to give shape to an abstract idea in the mind based on an original, new or unconventional approach.
- Creativity refers to the essential source of inventiveness and can lead to the formation of new firms and to make improvements in existing products of the company to become more efficient and competitive in the marketplace.
- A blend of creativity and technology in the activities of entrepreneurship to commercialize the idea related to products and services is helpful to strengthen the entrepreneurship.

# IMPORTANCE OF CREATIVITY

- Creation of innovative ideas
- Novel ways to develop and improve the products
- Thinking out of the box
- Growth of new niches with creativity and entrepreneurship
- Stand out from the crowd

# TYPES OF CREATIVITY

## 1. Deliberate and Cognitive creativity

- These characteristics possessed by people who are purposeful. These people have a huge amount of knowledge regarding a particular subject and they utilize their skills and abilities to prepare a plan to accomplish something. When people work in a definite niche for a long time, then they can be built such type of creativity and it takes some time.
- People equipped with this creativity are usually very good at research, problem-solving, proper investigation and experimentation. A long span of time is spent by these people each day to develop some new ideas and solutions.
- For example, one prominent example of this type of creativity is Sir Thomas Alva Edison as he was a creative person. He went through a lot of experiments before inventing electricity, the light bulb and telecommunication. Hence, wide knowledge, dedication and a long time are required for deliberate and cognitive creativity.

## 2. Deliberate and Emotional Creativity

These are a category of people whose work is swayed by their emotions as these people are very emotional as well as sensitive in nature. However, their decisions are always logical and rational at the same time.

Their creativity is always a blend of products having deliberate emotional thinking and logical actions. This creativity occurs at random moments and these moments are “a-ha!” moments when a solution is suddenly stuck into the mind of a person to sort out problems or think about the innovative ideas.

“Quiet time” is required for deliberate and emotional creativity.

### 3. Spontaneous and Cognitive Creativity

- It is a time when you get into the problem and spend a lot of time to find out the relevant solutions.
- This type of creativity happens when one has the knowledge to get a particular job done, but he requires inspiration and a hint to walk towards the right path.
- In spontaneous and cognitive creativity, the conscious mind stops working and the unconscious mind starts working to get a chance for work.

#### 4. Spontaneous and Emotional Creativity

- This type of creativity is associated with the “amygdale” part of the human brain as it is responsible for emotional thinking in the human’s mind.
- Mostly, it can be seen in great artists such as musicians, painters and writers.
- The person looks at the problems or situations in a deep way and gets a deeper viewpoint. These are “rare” moments when discovery takes place.
- It does not require any specific knowledge about a particular area but there should be a talent such as writing, musical or maybe artistic as well. It cannot be acquired by working.



# STEPS IN CREATIVITY

## Stage One: Preparation

- The preparation stage is the brainstorming stage.
- By letting your mind wander and finding inspiration, you can plant the seeds for your great ideas.
- Your inspiration can be as specific as looking at work from other artists or writers who you admire or as abstract as simply taking in the world around you.
- This is where you gather the material to put together your ideas.

## **Stage Two: Incubation**

- While it may seem counterproductive at first, the second stage of the creative process is walking away from all of the brainstorming that you have just done.
- While you take a break from your ideas and do something else, your subconscious continues to mold all of the prepared information into your new idea.

## **Stage Three: Illumination**

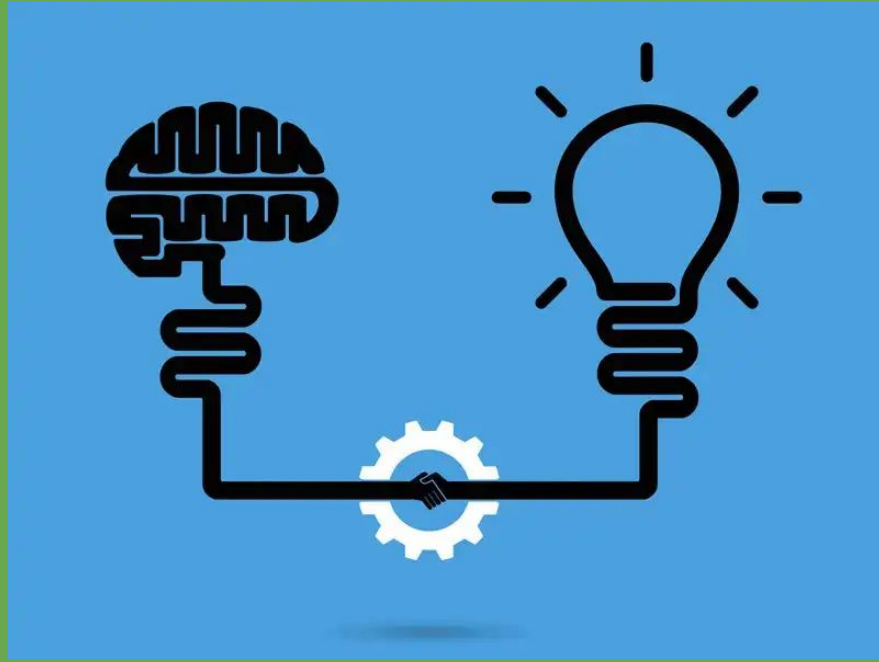
- This is the stage that everyone likes the most: the “Eureka!” moment.
- This is the moment where your solution or idea moves from your subconscious to the forefront of your mind.
- Contrary to many stories we hear, this doesn’t have to be anything dramatic. Your idea may come to you while you are eating breakfast, doing laundry, or even studying for an exam.
- Suddenly, you know what the next verse of your song should be, how your book should end, or what the solution is to your problem.

## **Stage Four: Evaluation**

- After the initial idea has been generated, this stage involves thinking critically about the new idea and weighing it against other solutions.
- You may seek feedback from peers, conduct marketing research to test the idea, or compare it to the original problem to see if it really works as a solution.
- After this stage, you will either return to stages one and two if the idea does not hold up or continue ahead with confidence in this idea.

## **Stage Five: Implementation**

- The implementation stage is when all of the ideas, plans, and evaluations from the previous stages come together, and one begins and finishes the project.



# INNOVATION

- Innovation refers to the introduction of a new quality of a good or a new good, market, method of production, source of supply, and organization in an industry.

# IMPORTANCE OF INNOVATION

- **Solving Problems** – If your business provides services, you might realize that your customers do not have an avenue to share their opinions, complaints, and compliments. So, to solve the problem, you could decide to operate a virtual office where customers' needs can be attended to within a short time. The customers will be happy and as a result, your sales will go higher.
- **Adapting To Change** – Change is inevitable and innovation is the method to not only keep your business afloat but also ensure that it remains relevant and profitable. So, when you develop an innovation culture, you remain relevant at all times.
- **Maximizing On Globalization** – Markets all over the world becoming more interlinked and greater opportunities are emerging in these new markets. For instance, if your company hopes to tap into this market share, innovation is a must to enable you to capitalize on the opportunities opening up.
- **Facing Up The Competition** – To retain or establish your company's cutting edge, you can compete strategically by having a dynamic business that can make strategic and innovative moves and thus cut above the rest.
- **Evolving Workplace Dynamics** – The demographics in the workplace are constantly changing. Innovation is therefore critical to ensure the smooth running of the company.

# STEPS IN INNOVATION

**Step 1: Idea Generation And Mobilization** – New ideas are created during **idea generation**. Successful idea generation should involve the pressure to compete and the freedom to explore. Mobilization occurs when the idea is moved to a different logical or physical location. For instance, how Apple waited three years after MP3 players were introduced to create the iPod, which was attractive, intuitive, and offered capacity for up to 1,000 songs.

**Step 2: Advocacy And Screening** – Advocacy and screening help to evaluate the **feasibility of a business idea** with its potential problems and benefits. Hence, a decision can be made about an idea's future. Companies looking to develop a culture can establish a few best practices. For instance, Employees should have plenty of avenues to receive advocacy and feedback. Also, organizations must understand the difficulties involved in evaluating truly innovative ideas. Also, organizations need to build transparent evaluation and screening protocols.



- **Step 3: Experimentation** – The experimentation stage tests the sustainability of ideas for an organization at a specific time. Experimentation generates new ideas with the information that is gathered on the results and feasibility of the original idea. For instance, when Amazon tested its grocery delivery service in certain Seattle suburbs. After this, Amazon Fresh expanded to Los Angeles, San Diego, and New York City.
- **Step 4: Commercialization** – Commercialization develops market value for an idea by focusing on its impact. An important part is establishing the specifications of any given idea. Commercialization is the stage that involves the change of focus developments to persuasion. After the idea is clarified and a business plan is developed, it will be ready for diffusion and implementation.

- **Step 5: Diffusion And Implementation** – Diffusion is the company-wide acceptance of an innovative idea, and implementation sets up everything needed to develop the innovation. Diffusion and implementation allow the organization to determine the next set of needs for customers. Receiving feedback, indicators for success metrics, and other benchmarks enable the organization to stimulate the innovation process.

# TECHNOLOGICAL INNOVATIONS

- Technological innovation may be a new product or process of production; or
- A substitution of a cheaper material in an otherwise unaltered product; or
- The reorganization of production, internal functions; or
- Distribution arrangements, leading to increased efficiency, better support for a given product, or lower costs.
- Technological innovation can also be an improvement in the ways of making or doing innovation.
- New technology that is not put to productive use is not innovation.

- Technological innovation is neither a single event nor even a small number of discrete events.
- Technological innovation involves a rich embroidery of events: many activities, many decisions, and many bits of behavior on the part of individuals and social units, most of whom are not even self-consciously aware of being part of such a process

THANK YOU